country.

Q. 2 Write a note on the need and the current government policy regarding disinvestment of the PSUs.

Ans. As many of the reserved sectors of industries were opened for private investment in the reforms era, the PSUs were thrown into a very tough competition posed by the Indian and foreign private investors who are equipped not only with the state-of-the-art technology but cutting edge management and marketing skills. To keep the PSUs in profitable condition and save their assets, they require heavy investment which the government lacks. Thus, disinvestment was opted for strengthing our PSUs.

The issue of disinvestment has been in debate since it was started. But recently it created news when the present Government (the UPA) did show a shift in its policy. By the end of 1999, the last Government had announced that the government holding in the 'non-strategic' industries would be cut down to 26 per cent—it meant that other than arms & ammunition; atomic power; mining R&D, fabrication, etc. of heavy metals; and the railways, all PSUs will become private industries.

Though the present government has not announced anything very clearly on this issue, it has said that as a policy, profit-making PSUs would not be disinvested.

What will be the degree of disinvestment? Experts believe that the 'strategic' sale of the PSUs would not be followed as the government is trying to go for reforms with a 'human face'.

Meanwhile, the government looks committed towards the PSUs in many ways—how to make them more profitable, protecting the interest of the labourers in the process of reviewing the MoUs signed by the PSUs, etc. Protecting economic interests of the economy also includes the protection of social and human interests.

Q. 3 Cite the reasons for the state of under-developed corporate bond markets in India and suggest measures for its development.